

HOUSE BILL No. 1425

DIGEST OF INTRODUCED BILL

Citations Affected: IC 6-3.1-42.5.

Synopsis: Social service provider tax credit. Allows a qualified taxpayer to claim a credit against the taxpayer's state tax liability for designated contributions to qualified nonprofit organizations that provide: (1) comprehensive case management services for at risk families; (2) family support services; (3) in-school programs, community based events, or online resources to assist fathers in learning and improving parenting skills; or (4) programs that provide mutual support systems among mothers in raising children or information for mothers to enhance child development.

Effective: January 1, 2027.

Smith H, Heaton, DeVon

January 8, 2026, read first time and referred to Committee on Ways and Means.



Second Regular Session of the 124th General Assembly (2026)

PRINTING CODE. Amendments: Whenever an existing statute (or a section of the Indiana Constitution) is being amended, the text of the existing provision will appear in this style type, additions will appear in **this style type**, and deletions will appear in ~~this style type~~.

Additions: Whenever a new statutory provision is being enacted (or a new constitutional provision adopted), the text of the new provision will appear in **this style type**. Also, the word **NEW** will appear in that style type in the introductory clause of each SECTION that adds a new provision to the Indiana Code or the Indiana Constitution.

Conflict reconciliation: Text in a statute in *this style type* or ~~this style type~~ reconciles conflicts between statutes enacted by the 2025 Regular Session of the General Assembly.

HOUSE BILL No. 1425

A BILL FOR AN ACT to amend the Indiana Code concerning taxation.

Be it enacted by the General Assembly of the State of Indiana:

- 1 SECTION 1. IC 6-3.1-42.5 IS ADDED TO THE INDIANA CODE
- 2 AS A **NEW** CHAPTER TO READ AS FOLLOWS [EFFECTIVE
- 3 JANUARY 1, 2027]:
- 4 **Chapter 42.5. Social Service Provider Tax Credit**
- 5 **Sec. 1. This chapter applies only to taxable years beginning after**
- 6 **December 31, 2026.**
- 7 **Sec. 2. As used in this chapter, "credit" refers to the social**
- 8 **service provider tax credit allowable under this chapter.**
- 9 **Sec. 3. As used in this chapter, "designated contribution" means**
- 10 **a monetary contribution to a qualified nonprofit organization that**
- 11 **the contributor designates at the time of the contribution as being**
- 12 **made for the purpose of the credit.**
- 13 **Sec. 4. As used in this chapter, "pass through entity" has the**
- 14 **meaning set forth in IC 6-3-1-35.**
- 15 **Sec. 5. (a) As used in this chapter, "qualified nonprofit**
- 16 **organization" means a nonprofit organization that meets the**
- 17 **following conditions:**



(1) Is exempt from federal income taxation under Section 501(c)(3) of the Internal Revenue Code.

(2) Is authorized to conduct business in Indiana.

(3) Has provided any of the following services in Indiana for at least ten (10) years preceding the organization's initial application for eligibility:

(A) Comprehensive case management services for at risk families based on the assessment of family strengths and needs.

(B) Family support services.

(C) In-school programs, community based events, or online resources to assist fathers in learning and improving parenting skills.

(D) Programs that provide mutual support systems among mothers in raising children or information for mothers to enhance child development.

(4) Does not provide abortion services, either directly or indirectly, or offer information related to such services.

(b) Services described in subsection (a)(3)(A) through (a)(3)(D) must be implemented with a continuous quality improvement process and evaluated based on outcomes.

Sec. 6. As used in this chapter, "state tax liability" means a taxpayer's total tax liability that is incurred under:

(1) IC 6-3-1 through IC 6-3-7 (the adjusted gross income tax);

(2) IC 6-5.5 (the financial institutions tax); and

(3) IC 27-1-18-2 (the insurance premiums tax);

as computed after the application of the credits that under IC 6-3.1-1-2 are to be applied before the credit provided by this chapter.

Sec. 7. As used in this chapter, "taxpayer" means an individual or entity that has any state tax liability.

Sec. 8. A taxpayer that makes a designated contribution that meets the requirements of this chapter is eligible to apply for a credit in the amount and under the conditions provided by this chapter against the taxpayer's state tax liability.

Sec. 9. An organization or qualified nonprofit organization must respectively apply or reapply for certification as a qualified nonprofit organization each calendar year by submitting to the department a signed application form containing:

(1) a description of the qualifying services and resources provided by the organization;

(2) the total number of individuals served during the previous



calendar year and the number of those individuals who were served and provided resources during that year using designated contributions;

(3) outcomes for services provided;

(4) the organization's financial information;

(5) the organization's contact information;

(6) a statement, signed under penalty of perjury by an officer of the organization, that the organization meets all criteria to qualify as a qualified nonprofit organization, has fulfilled the requirements for the previous calendar year (as applicable), and intends to fulfill the requirements for the next calendar year; and

(7) any other documentation requested by the department to verify an organization's eligibility.

Sec. 10. The department shall do the following:

(1) Issue a certificate of eligibility to an eligible applicant stating that the organization meets the qualifications of a qualified nonprofit organization.

(2) Revoke an organization's certificate of eligibility if the organization violates the provisions of this chapter or fails to maintain the eligibility requirements of this chapter.

(3) Require the return of designated contributions made to an organization that has had the organization's certification as a qualified nonprofit organization revoked or that otherwise fails to comply with the requirements of this chapter.

Sec. 11. An organization that is required to return designated contributions under section 10(3) of this chapter is ineligible for future qualification as a qualified nonprofit organization. An organization whose certification as an eligible organization lapses or is revoked for a reason other than the reason described in section 10(2) of this chapter may reapply for certification as a qualified nonprofit organization.

Sec. 12. A qualified nonprofit organization shall do the following:

(1) Conduct a local, state, and national criminal background check of all individuals working directly with children in a program funded by designated contributions that includes the use of:

(A) a commercial multi-state and multi-jurisdiction criminal records locator or other similar commercial nationwide data base; and

(B) the national sex offender registry data base maintained



- 1 by the United States Department of Justice or a successor
 2 agency.
- 3 (2) Spend all designated contributions, other than the amount
 4 described in subdivision (3), to provide services and resources
 5 for Indiana residents.
- 6 (3) Spend not more than five percent (5%) of the total dollar
 7 amount of designated contributions on administrative
 8 expenses.
- 9 (4) Submit to the department, not later than one hundred
 10 eighty (180) days after the end of the qualified nonprofit
 11 organization's fiscal year:
- 12 (A) a copy of the qualified nonprofit organization's annual
 13 financial audit; and
- 14 (B) a copy of the qualified nonprofit organization's most
 15 recent federal Form 990 filed with the Internal Revenue
 16 Service.
- 17 (5) Not later than thirty (30) days after receipt of a designated
 18 contribution, provide to the taxpayer making the designated
 19 contribution a certificate of designated contribution that
 20 includes:
- 21 (A) the taxpayer's name;
- 22 (B) the qualified nonprofit organization's name;
- 23 (C) the amount of the designated contribution; and
- 24 (D) the date the designated contribution was made.
- 25 **Sec. 13.** Subject to the limitations provided by this chapter and
 26 at the election of the taxpayer, a credit is allowed against the
 27 taxpayer's state tax liability for the taxable year in which the
 28 taxpayer makes a designated contribution to a qualified nonprofit
 29 organization.
- 30 **Sec. 14.** Subject to section 15 of this chapter, the amount
 31 allowable as a credit under this chapter for any taxable year is
 32 equal to the lesser of:
- 33 (1) the total amount of the designated contributions made by
 34 the taxpayer to one (1) or more qualified nonprofit
 35 organizations; or
- 36 (2) fifty percent (50%) of the taxpayer's state tax liability.
- 37 **Sec. 15. (a)** A taxpayer may not apply for a credit in excess of
 38 one million dollars (\$1,000,000) during a taxable year.
- 39 (b) The total amount of credits awarded under this chapter may
 40 not exceed five million dollars (\$5,000,000) during a state fiscal
 41 year. Any credits under this chapter are granted on a first-come,
 42 first-served basis.



1 **Sec. 16. (a)** If the credit provided by this chapter exceeds the
 2 taxpayer's state tax liability for the taxable year for which the
 3 credit is first claimed, the excess may be carried forward to
 4 succeeding taxable years and used as a credit against the
 5 taxpayer's state tax liability during those taxable years. Each time
 6 the credit is carried forward to a succeeding taxable year, the
 7 credit is reduced by the amount that was used as a credit during
 8 the immediately preceding taxable year.

9 **(b)** A taxpayer is not entitled to a carryback or refund of any
 10 unused credit.

11 **Sec. 17.** If a pass through entity is entitled to a credit under this
 12 chapter but does not have state tax liability against which the
 13 credit may be applied, a shareholder, partner, or member of the
 14 pass through entity is entitled to a credit equal to:

15 (1) the credit determined for the pass through entity for the
 16 taxable year; multiplied by

17 (2) the percentage of the pass through entity's distributive
 18 income to which the shareholder, partner, or member is
 19 entitled.

20 **Sec. 18.** A taxable entity may not convey, assign, or transfer a
 21 credit awarded under this chapter to another taxable entity unless
 22 substantially all of the assets of the taxable entity are conveyed,
 23 assigned, or transferred in the same transaction.

24 **Sec. 19. (a)** To apply a credit against the taxpayer's state tax
 25 liability, a taxpayer must claim the credit on the taxpayer's annual
 26 state tax return or returns in the manner prescribed by the
 27 department.

28 **(b)** The taxpayer shall submit to the department the information
 29 that the department determines is necessary for the department to
 30 determine whether the taxpayer is eligible for the credit.

31 **(c)** The department shall notify a taxpayer in writing of the
 32 department's decision to grant or deny the application. If the
 33 department denies a taxpayer's application, the department shall
 34 include in the notice of denial the reasons for the department's
 35 decision.

36 **Sec. 20.** The department shall publish on the department's
 37 website the following information:

38 (1) The form the department prescribes for claiming the
 39 credit provided by this chapter.

40 (2) A timeline for receiving the credit provided by this
 41 chapter.

42 (3) The total amount of credits awarded under this chapter



1 during the current state fiscal year.

2 (4) The requirements and process for an organization to be
3 certified as a qualified nonprofit organization.

4 (5) A list of organizations currently certified as qualified
5 nonprofit organizations.

6 Sec. 21. The expiration of this chapter does not affect the
7 carryforward of a credit under this chapter or those credits for
8 which a taxable entity is eligible after the date this chapter expires
9 based on designated contributions made before that date.

10 Sec. 22. This chapter expires January 1, 2036.

